

Law of Equity and Trusts (EQT1)

Module 5: Trusteeship and Duties of Trustees

Lesson 1: Appointment, Retirement and Removal of Trustees

Lesson Notes

KMVTECHUG

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Who Can Be a Trustee

Any person of full capacity may generally be a trustee. Corporations may act where permitted. Minors and persons lacking capacity are unsuitable. Beneficiaries may also be trustees, but conflicts must be managed. For trusts of land, at least two trustees (or a trust corporation) are often desirable so a valid receipt can be given for capital money.

Appointment, Retirement and Removal

Trustees are usually appointed by the settlor. The court and the Trustees Act Cap 270 also provide mechanisms for appointment of new trustees. Retirement should leave a sufficient number of trustees and is best effected by deed. Removal focuses on the welfare of the beneficiaries — breach, conflict, incapacity or breakdown in relations may justify removal.

Key idea: Cap 270 is the primary statute for appointment, retirement and related machinery in Uganda.

Practical Checklist for Change of Trustees

- Check the trust instrument for express powers.
- Check the Trustees Act Cap 270.
- Effect changes by deed where appropriate.
- Vest the trust property (Cap 240 for land).
- Notify beneficiaries and update records.

Quick Revision Checklist

- ☐ I can state who may be a trustee.
- ☐ I know Cap 270 governs much of the machinery.
- ☐ I understand retirement requires sufficient remaining trustees.
- ☐ I know the court's primary concern on removal is beneficiaries' welfare.